

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$115.74 ▼ 0.62%	12M Price Target \$140.00	52-Week Range \$63.52 – \$153.86	Market Cap \$104.06B
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HOOD: Cooling Off After Run, But Crypto Rules Are the Real Story

WHAT HAPPENED

- HOOD drifted down another 0.6% on light volume (only 9.2M shares vs. the 15M+ we've seen recently) — this looks like garden-variety profit-taking after a monster run, not anything fundamental. The stock is down ~6% over five sessions but still sitting at 58% of its 52-week range, so nobody's panicking.
- No news, no filings, no insider activity — this is a "market is digesting" day. The tape is quiet, and the fact that volume is drying up on the way down is actually a mildly bullish signal (means sellers are getting exhausted).

WHY IT MATTERS

Here's what I'm actually watching: the options flow is screaming bullish (put/call at 0.53, meaning traders are buying nearly 2x as many upside bets as downside protection) with unusual call buying at the \$113, \$118, and even the \$100 strikes for October. Someone with size is positioning for a bounce, not a breakdown. The pullback is happening while the broader market is also soft (tech -1% on the week, discretionary -2.75%), so this is macro noise, not HOOD-specific. The real setup: if the market stabilizes and crypto keeps grinding higher, HOOD is a coiled spring because retail trading revenue is directly leveraged to Bitcoin volumes and equity market sentiment — both of which have policy tailwinds right now.

POLICY & POLITICAL WATCH

The big one is the CLARITY Act and the ongoing crypto market structure legislation — if Congress finalizes rules giving the CFTC (not the SEC) jurisdiction over most crypto trading, Robinhood becomes a massive winner because they can list more tokens with legal certainty and grab share from Coinbase. Also watch the prediction markets fight: the CFTC under the Trump administration has been permissive on event contracts (elections, sports), and HOOD's Kalshi partnership is directly exposed — a favorable ruling could add a whole new revenue line. On the flip side, keep an eye on any renewed noise about banning payment for order flow (PFOF) — that's how HOOD makes money on stock trades, and while it's off the table for now under this SEC, it's the existential risk.

IS IT EXPENSIVE?

At \$104B market cap on roughly \$4.85B in expected 2026 revenue, you're paying about \$21 for every \$1 of sales — that's rich, roughly 2x where traditional brokers like Schwab trade. On earnings, it's ~62x forward, meaning you're paying \$62 for every \$1 of profit this year. That's expensive, but justified IF crypto volumes stay elevated and they keep growing customers 20%+ — this isn't a broker anymore, it's a fintech platform, and the market is pricing it like one.

WHAT COULD GO WRONG

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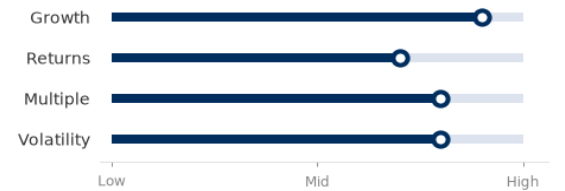
AI-Generated Pre-Market Brief | 2026-09-29 18:19 UTC

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Key Data

Price (USD)	\$115.74
12M Price Target	\$140.00
Upside / (Downside)	+21.0%
Market Cap	\$104.06B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.55
Fwd P/E	62.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$128.00	\$118.00	\$105.00
6 Months	\$155.00	\$130.00	\$95.00
1 Year	\$180.00	\$140.00	\$85.00
2 Years	\$235.00	\$175.00	\$75.00
5 Years	\$350.00	\$240.00	\$60.00
10 Years	\$600.00	\$380.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities catching a bid (+0.98%) — classic defensive rotation, suggests some investors are getting cautious. This is a yellow flag for high-beta names like HOOD.

COOLING OFF: Real Estate (-2.99% on the week) and Tech (-0.97%) — rate uncertainty is back on the table, and anything long-duration is getting punished.

ROTATION WATCH: Money is moving from growth/tech into defensives this week, which explains HOOD's pullback. But this feels like a short-term risk-off blip, not a regime change — no catalyst has broken.

RELATED PLAY: If you like the crypto regulatory tailwind, COIN (Coinbase) is the more direct play, and CME benefits from prediction market/derivatives expansion. IBKR (Interactive Brokers) is the boring quality version of the retail broker trade.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct crypto regulatory beneficiary — every clarity headline helps them more than HOOD in the near term.
- IBKR (Interactive Brokers): Quietly compounding — higher-margin international/professional traders, less sentiment-dependent than HOOD.

HOOD CONTEXT: HOOD has been the leader in the retail broker space YTD (up huge from the \$63 low), so a 6% pullback after that kind of run is healthy, not concerning. It's still holding above key technical levels — I'd get worried if it broke \$110 with volume, but this drift lower on shrinking volume looks like a pause, not a reversal.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish on the setup and policy backdrop, but the valuation demands you're disciplined about entry.

POSITION SIZE: 2-4% — Real upside but real volatility; this can drop 15% in a week on macro alone, so don't oversize.

ENTRY POINTS: Start scaling in at \$110, add meaningfully under \$105, back up the truck if it touches \$95.

TIME HORIZON: 12-24 months — the key catalyst is crypto legislation passing and Q4/Q1 earnings confirming the prediction markets flywheel is real.

WHEN TO BAIL: If MAU (monthly active users) declines two quarters in a row, if crypto revenue falls >30% QoQ, or if PFOF regulation gets serious traction in DC — any of those and I'm trimming hard.

HEDGING: Simplest approach: buy a put option that pays off if HOOD drops below \$95 in the next 3 months — costs you a small premium but caps your downside. Or just size the position small enough that a 30% drop doesn't ruin your week.